

MGTF 421: Corporate Finance

TERM: Winter 2026

PROFESSOR: Barbara A. Bliss

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OFFICE HOURS: Wednesday 12-1pm via Zoom & by appointment

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DESCRIPTION

This course covers the foundations of corporate finance with an emphasis on applications. We will discuss many of the major financial decisions made by managers both within the firm and in their interactions with investors. Topics include criteria for making investment decisions, valuation of financial assets and liabilities, relationships between risk and return and their consequences for the firm, capital structure choice and security issuance, and the effective use of derivatives pricing methods and concepts in corporate finance contexts.

OBJECTIVES

The goal of this course is to provide a conceptual framework for understanding and tackling the most important corporate finance problems, and how to apply these concepts in practice. Specifically, the course is meant to: (1) to familiarize students with core corporate finance concepts, (2) to develop a toolkit that allows one to solve important corporate finance problems in practice (including, but not limited to, capital budgeting, valuation, optimal capital structure and security issuance, and uses of derivatives securities and concepts within the firm), and (3) to provide preparation for a variety of roles in corporate finance and capital markets in which knowledge of valuation and financing policy are important.

MATERIALS

Required

- Textbook: Jonathan Berk, Peter DeMarzo: Corporate Finance Plus MyFinanceLab, 6th Edition. Pearson, 2020 (available through Pearson MyLab and Mastering, linked on Canvas)
- Electronic course pack of case studies (available through Study.net on Canvas)

SCHEDULE

We will cover topics in the order listed, but we may move faster or slower than indicated in the outline, depending on in-classroom dynamics. The midterm and final exam dates will not change.

Week	Topics	Suggested textbook reading	Due
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1	Introduction to Corporate Finance Capital Budgeting Reading: <i>Worldwide Paper Co.</i> (no deliverable; please read before 1st lecture)	Chapters 2-6 Chapter 8	Choose case group of 3-6 students
2	Case discussion Investment Decision Rules Reading: <i>Britannia Chemicals (B)</i> (no deliverable)	Chapter 7	Case 1: <i>Britannia Chemicals (A)</i>
3	Firm Valuation Mergers and Acquisitions	Chapter 9 Chapter 28	
4	Case discussion Risk and the Cost of Capital (Review/Brief) Determining Cost of Capital in Practice Reading: H. J. Heinz: Estimating the Cost of Capital in Uncertain Times (read; no deliverable)	Chapter 10-11 Chapter 12	
5	Case Discussion Capital Structure: MM & Tradeoff theory	Chapters 14-15 Chapters 18-19	Case 2: The \$85.4 Billion Merger of AT&T and Time Warner: Valuation Analysis
6	Midterm exam		
7	Valuing a Firm with Leverage Capital Structure: Incentives & Information	Chapters 18-19 Chapter 16	
8	Case discussion Payout Policy	Chapter 17	Case 3: DuPont

9	Case Discussion Derivative Securities in Corp. Finance (review/brief) Corporate Securities as Options	Chapter 20.1-20.5 Chapter 21.1-21.4 Chapter 20.6, 21.5	Case 4: Blaine Kitchenware
10	Real Options	Chapter 22	
11	Final exam: 3/18/2026 8am to 11am		

ASSIGNMENTS

Case assignments (Group work)

Written case analyses, which respond to specific questions or prompts in the posted case assignments, are to be prepared by **groups of 3-6 students** (groups with fewer students than this are allowed but are not ideal; groups with more students are *not* allowed). Each group will submit one write-up as a pdf document, using a drop box on the Canvas course site. The analyses are due at the beginning of class on the day that the case will be discussed.

Your case write-ups should reflect the independent judgement and analysis of your group. Making use of case solutions or case materials of any kind from the Internet, from other universities, from previous versions of this course, or from any other sources is strictly prohibited.

The use of generative AI / large language model (LLM) tools such as ChatGPT, Google Gemini, Bing Chat, etc. is allowed when preparing your case write-ups, subject to the following conditions:

- **You should not use AI tools to generate content that you simply put your name on.** This constitutes an academic integrity violation, just like plagiarizing another student's work, copying from pre-existing case solutions, or using unauthorized materials during an exam. These tools should support your own work, not replace it!
- **If you use an AI tool, be transparent about how it was used** by including a relevant footnote or citation, just like if you were citing an academic paper or textbook that you used as a reference.
- **You are still fully responsible for the content in all deliverables.** If you submit a poor-quality write-up (e.g., one with AI "hallucinations", logical inconsistencies, responses that are not well-supported by your analysis, etc.) you will receive a correspondingly poor score.

Exams (Individual work)

Exams will be based on material covered in the class sessions. There will be no makeup exams except for university sanctioned reasons (including, but not limited to: time conflict with another course, medical emergency, family emergency, religious observance, etc.). No accommodations can be implemented retroactively.

If you miss the midterm, then the grade weighting % from the midterm will be added to the final exam, and therefore the final will count for 60% of the course grade. If you take the midterm and your score (in %) on the final is higher than your score (in %) on the midterm, your score on the final will be substituted for the midterm score when computing course grades. If you are penalized on either exam for an academic integrity violation, this "score substitution" policy does not apply!

Both the midterm and final exam are in-person "paper and pencil" exams. You are allowed a calculator(s) of your choice (any financial, scientific, and/or graphing calculators are acceptable, as long as they cannot connect to the internet, nor have

any form of cellular connectivity or messaging capability). Absolutely no communication with anyone, whether in person, by phone, or electronically, during the exams is permitted. The exams are 100% individual work.

- Making use of any outside materials that have not been explicitly approved by the instructor (as in the paragraph above) is strictly prohibited.
- Any discussion or collaboration with other students or outside individuals is strictly prohibited.
- The use of Generative AI or LLM tools on exams is strictly prohibited.

GRADING

Assignments	Points [or percentage]
Case assignments	30%
Midterm Exam	25%
Final Exam	35%
Participation	10%
Total	100%

COURSE POLICIES

Course letter grades will be based on the following:

93.5 – 100%	: A
90.0 – 93.49	: A –
87.0 – 89.99	: B +
83.0 – 86.99	: B
80.0 – 82.99	: B –
77.0 – 79.99	: C +
73.0 – 76.99	: C
70.0 – 72.99	: C –
60.0 – 69.99	: D
Less than 60.0:	F

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:

<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.